S.No.	Basis	Internal Check	Internal Audit
5.	Commencement of work	Internal check is in operation during the course of transactions.	Internal audit commences only when accounting process is completed.
6.	Performance of work	In internal check no new staff is appointed to perform the work.	In internal audit the work is performed by a separate group of persons specifically appointed for this purpose.

3.9 Differences Between Internal Control and Internal Audit

S.No.	Basis	Internal Control	Internal Audit
1.	Meaning	Internal control is an arrangement of duties allocated in such a way that the work of one employee is automatically checked by another.	Internal audit is an independent review of operations and records undertaken by the staff specially appointed for this purpose.
2.	Objective	The system of internal control is devised in such a way that errors and frauds are minimized.	In internal audit errors and frauds already committed are discovered.
3.	Scope of work	In internal control the work is allocated to different employees in such a way that the work of one person is independently checked by other.	In internal audit the work of a clerk is checked by an internal auditor only after the former has completed his work.
4.	Work performance	In internal control there is no separate staff engaged to carry out the system.	In internal audit a separate staff is specially engaged for carrying out the work.
5.	Conduct	Internal control is a device for keeping a check on work.	Internal audit checks the work done in the light of policies and procedures as laid down by the management.

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